JUDGMENT SHEET

IN THE ISLAMABAD HIGH COURT, ISLAMABAD

REGULAR FIRST APPEAL NO. 71 OF 2015

NATIONAL HIGHWAY AUTHORITY

VS

M/S HUSNAIN COTEX LIMITED & ANOTHER

Appellant by : Mr. Muneeb Ahmed, Advocate.

Respondents by : Muhammad Masood Khan & Syed Faisal Hussain Shah Advocate, on behalf of respondent No.1.

Date of hearing : 25.02.2025

MUHAMMAD AZAM KHAN, J.

1. Through the instant Appeal, National Highway Authority **(Appellant)** has assailed the Order and Decree dated 03.12.2013 **("Impugned Order and Decree")** passed by the learned Civil Judge 1st Class, Islamabad-West **("Trial Court")** whereby the Application filed by the Appellant under Sections 16 & 33 of the Arbitration Act, 1940 **("Arbitration Act")** read with Section 151 of the Code of Civil Procedure, 1908 **("CPC")** and all other enabling provisions of the law for remission of Award **("Application")** was dismissed.

2. The brief facts of the case in hand are that the Appellant filed the Application before the learned Trial Court contending therein that the Appellant awarded contract to the Respondent No. 1 [M/S Hussain Cotex Limited] for "Construction of bridge over river Chanab at Sher Shah, District Muzaffargarh **("**Contract). A formal agreement was signed between the Appellant and the Respondent No.1 on 04.02.2005. The date of commencement of the Contract was fixed as 25.02.2005 with completion period of 30 months whereas, the original date of completion under the Contract was 28.08.2007. The original contract amount as stated in the agreement was Rs.845 million. The Appellant appointed Brig. (R) Engr. M. Afzal Pervaiz as "The Engineer" and engaged M/S National Engineering Services NESPAK (Pvt.) Limited as the "Supervisory Consultants" for the Contract. On 27.08.2007, the Respondent No.1 applied for an Extension of Time **("EoT")** to the Engineer. The EoT application of the Respondent No. 1 was based upon the following grounds:-

a. Delay in issuance and revision of construction drawings;
b. Encountering of railway steel plates at some pile locations;
c. Encountering of rocks and boulders at some pile locations;
d. Addition of diversion ramps for future emergencies;
e. Repeated changes in alignment at Multan approach;
f. Unprecedented and unexpected flooding;
g. Protective works and working platforms being repeatedly demolished;
h. Change of source of stone aggregates and sand from Sakhi Sarwar;
i. Failure of the claimant to provide the complete site possession;
j. Delay in payments on part of the claimant;
k. Delay in approvals/decisions on part of the claimant;

3. As a result, the Engineer evaluated the Application for EoT and determined under provisions of Clause 44.1 of Conditions of Contract Part-I that the Respondent No. 1 is entitled to EoT up to 31.03.2008. The determination was conveyed by the Engineer to the Appellant. The Appellant did not agree to the determination of the Engineer for 1st EoT up to 15.02.2008 and its Project Director stated that 1st EoT shall be allowed with the condition that the financial effect related thereto shall be borne by the Respondent No. 1 i.e. (a) the Respondent No. 1 shall not claim price adjustment during the extended period, (b) no bonus for early completion shall be payable and (c) the extra cost related to Construction Supervisory Charges and the Appellant's establishment expenditures shall be borne by the Respondent No. 1. The Respondent No.1 challenged the decision of the Appellant before the Engineer, who determined that conditions cannot be attached to the EoT as desired by the Appellant. The Appellant declined to accept the decision and sought a resolution on the matter through arbitration, as per the provisions of Clause 67.1.After determination of issues, the Sole Arbitrator filed the Award on 05.04.2010 by stating that the delayed events provide valid grounds for grant of 1st EoT. Further the Appellant was directed not to recover charges of Supervisory Consultants from the Respondent No. 1 for the period related to the 1st EoT. The Appellant was further directed to pay Price Adjustment to the Respondent No. 1 under the provisions of Clause 70 of the Conditions of Contract. Dissatisfied with the Sole Arbitrator's Award, the Appellant submitted the Application to the learned Trial Court, requesting the remission and annulment of the Award, and asking for the matter to be referred to arbitration once again.

4. The learned Trial Court issued notices to the Respondents, whereupon the Respondent No. 1 filed written reply to the Application and prayed for dismissal of the same and for making the Award dated 05.04.2010 rule of the Court. The learned Trial Court after hearing the arguments of both the parties, dismissed the

Appellant's Application vide the Impugned Order and Decree. Being aggrieved of the same, the Appellant has filed the instant Appeal.

5. The learned counsel for the Appellant argued that the Impugned Order and Decree has been passed in an arbitrary manner without application of judicious mind and is thus liable to be set-aside; that the Impugned Order and Decree has resulted in grave miscarriage of justice, the same is thus liable to be set-aside; that the learned Trial Court failed to appreciate that the objections to the legality of the Award are glaringly evident on its face, as well as in the record; that the learned Trial Court failed to properly exercise the jurisdiction vested with it, in accordance with the guidelines laid down by the apex Court of Pakistan as well as settled legal principles; that notwithstanding the above, the learned Trial Court failed to appreciate that the findings given by the Sole Arbitrator/Respondent No. 2 are based on mis-reading and non-reading of evidence, against the express contractual provisions, against the settled legal principles as well as extraneous to the material available on record; that the learned Trial Court failed to appreciate that on various issues, the findings given by the Sole Arbitrator/Respondent No. 2 are so indefinite so as to be incapable of execution, inconclusive and self-contradictory, therefore, the same amount to error apparent on the face of record in terms of Sections 16 and 33 of the Arbitration Act; that the learned Trial Court also failed to appreciate that several of the conclusions and findings given by the Sole Arbitrator/Respondent No. 2 are based on reasons never discussed during the arbitration proceedings and thus based on surmises, infatuations and irrelevant as well as extraneous material and information; that the learned Trial Court failed to appreciate that the reasoning given by the Sole Arbitrator/Respondent No. 2 on Issues No. 1 & 2 are completely extraneous to the record, as such have no relevance with the case; that the findings of the learned Trial Court are based on illogical and patently incorrect interpretation of legal provisions; that the findings of the Sole Arbitrator/Respondent No. 2 on Issue No. 3 are inconclusive, blatantly contrary to the evidence, and based on misreading and non-reading of evidence; that the findings on Issue No. 3 are also in violation of Section 26-A of the Arbitration Act, thus the same amount to misconduct in terms of the Arbitration Act; that the learned Trial Court failed to appreciate that the Sole Arbitrator/Respondent No. 2, while announcing the Award, has completely and entirely failed to place the 'burden of proof' on the relevant parties and to proceed with arbitration proceedings in light of the same, thus, the Sole Arbitrator/Respondent No. 2 mismanaged the proceedings, rendering the Award liable to be set-aside; that

notwithstanding, the foregoing, the learned Trial Court failed to appreciate that the findings given by the Sole Arbitrator/Respondent No. 2 on Issues Nos. 4 and 5 are inconclusive, indefinite, irreconcilable and self-contradictory with the Award; that the learned Trial Court failed to appreciate that while giving findings on Issues No. 6 and 7, the Sole Arbitrator/Respondent No. 2 has completely misstated the legal, as well as factual position and has thus misconducted himself in terms of the Arbitration Act; and that the learned Trial Court failed to appreciate that the findings of the Sole Arbitrator/Respondent No. 2 on Issues Nos. 8 to 13 are completely and glaringly irreconcilable with the evidence, facts as well as settled legal principles. Lastly, the learned counsel prayed that the present appeal be allowed and the Impugned Order and Decree be set aside and parties be directed to fresh arbitration.

6. On the other hand, the learned counsel for the Respondent No. 1 argued that the Appellant's counsel has failed to point out any illegality in the Impugned Order and Decree and the learned Trial Court has rightly dismissed the Appellant's application, based on correct appreciation of evidence and proper application of judicial mind; that the learned Trial Court passed the Impugned Order and Decree keeping in view the facts and evidence available on record. In the last, the learned counsel prayed for the dismissal of the instant Appeal.

7. I have heard the learned counsel for the parties in detail and have also perused the record with their able assistance.

8. The primary argument presented by the learned counsel for the Appellant was that the Sole Arbitrator/Respondent No. 2 failed to grant the parties a proper opportunity to present evidence, which constitutes misconduct. Perusal of Para 17 of the Award reveals that the Sole Arbitrator/Respondent No. 2 decided, *"by mutual consent of parties, that in order to save time adducing of evidence through statements of witnesses, examination-in-chief and cross-examination will not be held unless felt necessary by the Arbitrator"*. The Appellant has failed to raise any objection at the time of arbitration proceedings then at this juncture such objection cannot be considered and will not amount to misconduct. The findings of the Sole Arbitrator/Respondent No. 2 on all the issues are based on both the documentary evidence and the arguments presented by both the parties. The learned counsel for the Appellant stated that the Sole Arbitrator/Respondent No. 2 in Para 13(ii) discussed that if the Respondent No. 1 is entitled to an EoT, it may, depending on the *onsite factual situation*, lead to delay costs claims against the Appellant. The

Sole Arbitrator/Respondent No. 2 has not only given a finding that the Respondent No. 1 is entitled to EoT, but has also provided basis for further claims by the Respondent No. 1 against the Appellant. In my opinion, the Sole Arbitrator/Respondent No. 2 related his findings to the provisions of sub-clauses 6.4, 12.2, 51.1 and 42.2 of the Conditions of Contract Part-1(General Conditions) as well as sub-clause 20.5(f) of the Conditions of Contract Part-II [COPA] and it is a settled principle of law that an arbitrator must not deviate from the contractual provisions. The Sole Arbitrator/Respondent No. 2 relied upon the documentary record provided by both the parties and concluded that events on the basis of which the Respondent No. 1 claimed EoT are factual and based on the record, hence, his findings in respect of Issues Nos. 4 and 5 are logical. In paragraph 29 of the Award, the Sole Arbitrator/Respondent No. 2 made factual findings that the Respondent No. 1 provided timely notifications for most of the events on which the Application for EoT was based. Therefore, it would be incorrect to argue that the Award is beyond the scope of reference, unsupported by evidence, or contrary to the evidence on record. The phrase 'timely notifications' is to be considered in light of Clause 44.2 of the Conditions of Contract Part-I, which provides as follows:

> *"Provided that the Engineer is not bound to make any determination unless the Contractor has,*
>
> *(a) Within 28 days after such event has first arisen notified the Engineer with a copy to the Employer, and*
>
> *(b) Within 28 days or such other reasonable time as may be agreed by the Engineer, after such notification submitted to the Engineer detailed particulars of any extension of time to which he may consider himself entitle in order that such submission may be investigated at the time".*

9. Moreover the justifications given by the Sole Arbitrator/Respondent No. 2 who reached at the conclusion by taking into account the provisions of sub-clauses 44.2, 44.1, 6.4,12,2 and 27 of the Conditions of Contract that timely notifications of events were given, moved on to justify this finding by vesting discretion has no contractual basis. In the circumstances it cannot be said that the Sole Arbitrator/Respondent No. 2 has arrived at his conclusions without any reasoning in respect of the hyper-technical grounds adopted by the Appellant in respect of the provisions of sub-clause 44.2 of Conditions of Contract Part-I to the effect that the Respondent No. 1 failed to issue a notice within 28 days of the first occurrence of the events upon which the Respondent No. 2 is entitled to be granted EoT and therefore should not be granted an EoT. The Appellant was aware of the events due to which applications for EoT were moved and indeed were often at the behest of

the Appellant and in such circumstances it was preposterous to expect that the Respondent No. 1 was under any obligation to notify the Appellant of the same. It has rightly been discussed by the Respondent No. 1 that if in fact the contention of the Appellant is accepted it would lead to an absurd situation. For instance, the Appellant instructed the Respondent No. 1 to change the alignment of the bridge at the Multan end of the project the Respondent No. 1 were to by return of post notify the Appellant that the alignment of the bridge had been changed at the Multan end of the Project. The findings of the Sole Arbitrator/Respondent No. 2 in respect of Issues Nos. 9, 10 and 11 are based on the correct reading of evidence and on the pleadings and arguments of the parties. The Contract does not provide the granting of conditional EoT. The Sole Arbitrator/Respondent No. 2 rightly decided that the Appellant cannot recover the charges of the supervisory consultants during the extended period from the Respondent No. 1.

10. The relevant provision of the Arbitration Act is reproduced here under: -

> ***"Section 30. Grounds for setting aside award.*** *An award shall not be set aside except on one or more of the following grounds, namely:*
>
> a. *that an arbitrator or umpire has misconducted himself or the proceedings;*
> b. *that an award has been made after the issue of an order by the Court superseding the arbitration or after arbitration proceedings have become invalid under section 35;*
> c. *that an award has been improperly procured or is otherwise invalid."*

This section should be read with Sections 15 and 16 of the Arbitration Act.

Section 15 empowers the Court to modify or correct the Award i.e.

> a. *where it appears that a part of the award is upon a matter not referred to arbitration and such part can be separated from the other part and does not affect decision of the matter referred; or*
> b. *where the award is imperfect in form, or contains any obvious error which can be amended without affecting such decision; or*
> c. *where the award contains a clerical mistake or an error arising from an accidental slip or omission.*

Section 16 empowers the Court to remit award for reconsideration on the following grounds:-

> a. *where the award has left undetermined any of the matters referred to arbitration, or where it determines any matter not referred to arbitration and such matter cannot be separated without affecting the determination of the matters referred; or*
>
> b. *where the award is so indefinite as to be incapable of execution; or*
>
> c. *where an objection to the legality of the award is apparent upon the face of it.*

11. The Sole Arbitrator/Respondent No. 2 after discussing each and every issue gave "Award" that "most of the delayed events on which the Respondent No. 1's Application for 1st EoT was based were such as could not have been foreseen by an experienced and prudent Contractor and the Claimant had cognizance of these events. Therefore these delay events provide valid grounds for grant of the 1st EoT. The determination of the 1st EoT by the Engineer was in order and therefore the relief sought by the Employer is hereby denied. The claimant is hereby directed not to recover charges of the supervisory consultants from the Respondent No. 1 for the period related to the 1st EoT (i.e. from 29-08-2007 to 31-03-2008). The claimant is further directed to pay Price Adjustment to the Contractor under the provisions of Clause 70 of the Conditions of Contract for work carried out by the Respondent No. 1 during the period related to the 1st EoT (i.e. from 29-08-2007 to 31-03-2008) within 90 days from the signing of this Award. The Claimant shall be entitled to simple interest on any unpaid portion of this amount at the contractual rate of 8% annually if payment is not received within the above specified period. In case the Respondent had not taken out Insurance for Works as set out in Clause 21, the Employer may recover cost of providing such insurance cover from the due payments of the Respondent No. 1. The learned counsel for the Appellant has failed to point out any misconduct or any irregularity committed by the Sole Arbitrator/Respondent No. 2 while deciding the controversy between the parties through an Award dated 05.04.2010.

12. In cases where a contract includes an arbitration clause, the general approach should be to minimize Court interference, especially when the parties have voluntarily selected their preferred forum for resolving disputes. The Courts can interfere to the extent as provided in the Arbitration Act. It is emphasized that expeditious and inexpensive Dispute Resolution should be considered vital for a vibrant economy and inevitable for economic growth and progress. The Courts have a crucial role to play in ensuring that the commitments made between the parties are honoured and implemented. It is the duty of the Courts to promote with certainty by enforcing the binding commitments made by the parties.

13. The findings of the Sole Arbitrator/Respondent No. 2 are clear, concise, legal and based on evidence and there is no violation of Section 26-A of the Arbitration Act. The learned Trial Court has rightly dismissed the Application filed by the Appellant for conducting Award afresh as there is no error floating on the face of the Award which has caused grave injustice. The Court while considering the objections to an award keeps in mind the criteria on the basis of which, an

award should be set aside. The statutory grounds are mentioned in Sections 30 and 33 of the Arbitration Act and on the basis of judgments of the superior Courts of our country, it is settled by now that an arbitration is a forum, which is chosen by the parties out of their own free will and consent, for resolution of *inter se* disputes, such forum has the sanctity of the confidence of the parties reposed upon it and to all intents and purposes, the Arbitrators are the **Judges of law and fact** and can accordingly decide the dispute. It also cannot be disputed that the Arbitrators have the full authority to appreciate the facts of the case, according to their own perception, expertise, knowledge and such appreciation of facts, if not suffering from the vice of any misreading and non-reading of the record, shall not be interfered with by the Court only on account that another conclusion is possible. There also can be no cavil that the Court while considering the validity of the Award should not sit as a Court of appeal, trying to fish or dig out the latent errors in the proceedings or the Award. It has also been held in *Muhammad Farooq Shah vs Shakirullah* reported in **2006 SCMR 1657** by the august Supreme Court that:-

> *"We are conscious of the fact that duty of the Court is to give every reasonable intendment in favour of award and lean towards upholding rather than vitiating the same..."*

In the case titled *Mian Corporation Vs. Lever Brothers of Pakistan* reported in **PLD 2006 SC 169**, the august Supreme Court has, *inter-alia* held that: -

> *"It is well settled that the arbitrator acts in a quasi-judicial manner and his decision is entitled to utmost respect and weight, unless the misconduct is not only alleged, but also proved against him to the satisfaction of Court."*

14. Therefore keeping in view the findings of superior Courts and after going through the Award in detail, this Court is of the considered view that the Sole Arbitrator/Respondent No. 2 has rightly given his findings on each and every issue discussed in the "Award" dated 05.04.2010. Even otherwise the objection filed by the Appellant is time-barred under Article 158 of the Limitation Act, 1908, which provides that the time limit for filing of objections to an Award is thirty days from the date of notice of filing of an Award in Court. Reliance is placed on *Airports Development Agency Limited versus M/s M.Y Corporation and others,* **PLD 2001 Karachi 158.** The relevant portion is as under: -

> *"it goes without saying that it is by now a settled law that objections have to be filed within 30 days and if they are filed beyond the statutory period then they cannot be taken into consideration especially in the absence of any application for condonation of delay and possible justification as to why the objections were not filed within the prescribed time".*

Reliance in this regard is also placed upon the ruling of the Supreme Court of Pakistan cited in *Shahin Shah Vs. Government of Khyber Pakhtunkhwa,* **2022 SCMR 1810,** relevant portion of which is reproduced as under: -

> ***(g) Limitation Act (IX of 1908)---***
>
> *---S. 5---Condonation of delay---Scope---Party must explain each day of delay and, the Court, ought to adjudge whether each day of delay has been sufficiently explained to the satisfaction of the Court with evidence---If such discretion has been exercised properly, then, an appellate Court cannot arbitrarily disregard the reasons so given by the Trial Court while discounting the reasons provided by one party in an application for condonation of delay by the Trial Court unless there is misreading or non-reading of the record.*
>
> *Purpose of arbitration is defeated if a party refuses to abide by the agreed mode of dispute resolution---Such a trend must not be encouraged."*

15. For what has been discussed above, the Appellant has failed to point out any illegality or irregularity in the Impugned Order and Decree and as such there is no force in the Appeal, hence, the same is hereby **dismissed**.

(MUHAMMAD AZAM KHAN)
JUDGE

Announced in the Open Court on _____ day of March, 2025.

JUDGE

--/Mehboob/--